HRL SAFARI LLC LIMITED
versus
FOREVER AFRICA (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUSHURE J
HARARE; 8 September 2025 & 27 February 2026

Special case

T. Mpofu for the plaintiff
D. Tivadar for the defendant

MUSHURE J:

INTRODUCTION

[1] This is a special case in terms of r 52 of the High Court Rules, 2021, as read with r 4(2) of the High Court (Commercial Division) Rules, 2020.

BACKGROUND

[2] The plaintiff is a limited liability company registered in the State of Delaware, United States of America. The defendant is a registered company as per the laws of Zimbabwe. This matter commenced as an action with the plaintiff issuing summons against the defendant claiming for the payment of a sum of US$418 950.69 and interest at the rate of 2 per cent plus base rate applied by Barclays Bank Plc (currently US$80.35 per day) with effect from 1 July 2024 up to date of payment in full, as well as costs of suit. The defendant opposed the claim.

[3] At the case management stage, the parties made vain attempts to settle. They eventually agreed that the matter proceeds as a stated case, as the issues that remained in dispute were largely common cause and points of law that did not require the leading of evidence.

[4] The facts of the matter as presented by the parties in their statement of agreed facts are that:

"B. STATEMENT OF AGREED FACTS

5. The plaintiff is HRL Safari LLC, a limited liability company registered in the state of Delaware, United States of America with power to sue and to be sued whose address for service is c/o the undersigned legal practitioners.
6. The defendant is Forever African (Private) Limited, a registered company in accordance with the laws of Zimbabwe whose address for service is c/o of its undersigned legal practitioners.
7. On the 5th of April 2018 the defendant entered into a loan agreement with Vantage Travel Services Inc (hereinafter called "Vantage"), a company incorporated in Delaware, United States of America.
8. In terms of the loan agreement aforesaid, Vantage advanced the sum of US$515 000.00 to the defendant.
9. The funds were advanced and utilised for the purposes of enabling the defendant to construct and operate the Iganyana tented camp registered in the name of the defendant. Defendant used the funds to construct the infrastructure at the camp. The camp is operational.
10. On the 17th of April 2019, a deed of novation and assignment ("the Agreement") was signed by the following parties;
    - 10.1 Forever African (Private) Limited (hereinafter called "Forever African")
    - 10.2 Safari Connect Limited (hereinafter called "Safari Connect")
    - 10.3 Vantage Travel Services Inc (hereinafter called "Vantage")
    - 10.4 HRL Safari LLC (hereinafter called "HRL Safari")

11. The Agreement recorded and confirmed that;
    - 11.1 Vantage had advanced the sum of US$515 000.00 (Five hundred and Fifteen Thousand United States dollars) to Forever African to enable the latter to construct the Iganyana Tented Camp at Hwange, Zimbabwe.
    - 11.2 At the time of signing the Agreement, the loan sum was due and owing.
    - 11.3 Forever African wished to and had novated all its rights and obligations in respect of the loan to Safari Connect and the latter wished to and had assumed the rights and obligations of the former.
    - 11.4 Vantage wished to and had assigned all its rights, title and interest in respect of the loan to HRL Safari and the latter had assumed the rights and interest of Vantage in the loan agreement.
    - 11.5 Vantage had irrevocably and unconditionally released Forever African from its obligations in respect of the loan.
    - 11.6 The deed and all disputes arising from it would be governed and construed in accordance with English law and in relation to any

disputes arising out of this deed, each of the parties irrevocably submits to the exclusive jurisdiction of the English courts.

12. Safari Connect failed to repay the loan and the plaintiff sued and obtained an arbitral award by consent on 25 February 2025. The parties submitted to the jurisdiction of a Zimbabwean arbitrator and the application of the laws of Zimbabwe.
13. The award against Safari Connect was for the sum of Four Hundred and Eighteen Thousand Nine Hundred and Fifty United States dollars and Sixty-Nine Cents (US$418 950.69) and interest at the rate of 2% plus base rate applied by Barclays Bank Plc (currently US$80,35 per day) with effect from 1 July 2024 up to date of payment in full.
14. Safari Connect failed to pay the sum due and is insolvent.
15. Safari Connect is a Mauritian company established in 2018. Its registered office and business address is 1st Floor, Block, Nautica Commercial Centre Royal Road, Black River 90601 Mauritius.
16. Safari Connect was set up solely to act as a sales agent. Its business was composed of, acting as an international booking agent for the Iganyana tented camp, as well as any other camps and safaris.
17. The directors of Safari Connect are Sheona Anders, Bavita Jankee Persand, Mohamed Dilshad, Noel Colin Kersley Vinay, Pieter Enright, and Moya Cosaleggio. One of the directors of Safari Connect since 2018 to date, Sheona Anders, is also an executive director and shareholder of the defendant.
18. Safari Connect operates as an international booking agent for the Iganyana Tented Camp. The Defendant operates the Iganyana tented camp as a safari tour operator.

C. PARTIES' CONTENTIONS

19. The plaintiff contends that defendant and Safari Connect, are members of the same group of companies and operate as a single economic unit, are indivisible and constitute one entity and that it is just and equitable that the corporate veil be lifted and defendant and Safari Connect be treated as one company and accordingly, defendant is liable to pay the debt.
20. The defendant contends that this honourable court has no jurisdiction to determine this matter, that it was irrevocably released from liability under the loan and that Safari Connect is not its subsidiary company. Defendant further contends that there is no basis for piercing the corporate veil and it is not liable to pay the debt.

D. DOCUMENTS

21. The parties agree that the documents attached to the pleadings filed in this matter shall form part of the special case hereby filed and the parties accept the contents of the documents as true and correct."

[5] The principle established in *Lutzkie* v *Chief Immigration Officer* S-48-17 at p 5 is that when parties agree that a matter proceeds by way of a special case, the parties agree as to

the question of law that arises from the agreed set of facts, and the court is simply invited to determine the question/s of law as presented by the parties. The court cannot delve into whether the facts that have been agreed to are correct or not. The court is bound to accept those facts as being correct and to make a determination from the agreed set of facts as presented before it. See *Kunonga* v *The Church of the Province of Central Africa* S-25-17 at p 10.

ISSUES FOR DETERMINATION

[6] It is necessary, in a matter proceeding by way of a special or stated case, to identify with clarity the issues that the parties have placed before the court for determination. Per the parties' statement of agreed facts, four issues have been placed before me for determination. These are:

1. Whether this court has jurisdiction to determine the matter?
2. Whether the summons discloses a cause of action against the defendant?
3. Whether there has been a material non-joinder of a party?
4. Whether the defendant is liable to pay the debt?

[7] What follows are the parties' submissions. I have deliberately set out the submissions at some length because the submissions assist in placing the disputes in their proper context for determination of the special case.

THE PLAINTIFF'S SUBMISSIONS

[8] On jurisdiction, the plaintiff argued that by reason of s 13 of the High Court Act [*Chapter 7:06*], the High Court has full original jurisdiction over all persons and causes in Zimbabwe, and this is constitutionally non-negotiable. It argued, further, that in this case, the defendant is an *incola* of Zimbabwe; so, per the *actor sequitur forum rei* principle, the question of whether the court has jurisdiction or not over it does not arise.

[9] The plaintiff further submitted that the deed of novation does not have the effect of taking away the court's jurisdiction on four fronts. Firstly, the deed of novation governs disputes between the plaintiff and Safari Connect. The purpose of the deed was to introduce a new party and bind it through contract, and only Safari Connect, and not the defendant, can enforce the choice of court clause.

[10] Secondly, the plaintiff argued that the defendant is blowing hot and cold as Safari Connect submitted to the jurisdiction of a local judicial authority, an arbitrator in Zimbabwe, and the defendant cannot now, whilst riding on Safari Connect's back, raise an objection to the court's jurisdiction.

[11] Thirdly, the plaintiff submitted that this is not a claim brought in terms of the deed of novation. The claim in terms of the deed of novation was brought by the plaintiff against Safari Connect and resulted in an arbitral award. As such, it asserted, the claim, being outside the terms of the deed of novation, is not affected by the exclusionary terms of the deed. Further, the plaintiff maintained that the deed of novation no longer exists, and it cannot govern a claim brought outside the terms of that agreement.

[12] Fourthly, the plaintiff submitted that the claim is a claim in execution in that relief is being brought in execution against a party constituting the same economic entity as a debtor, the debtor being Safari Connect, and that the claim is founded in common law and not in contract. The jurisdiction of this court is a matter of sovereignty and is governed by public law and not by contract law.

[13] In any event, the plaintiff argued, the correct position of the law is that a choice of court provision in an agreement does not oust the inherent jurisdiction of the court; rather, it invests in it a discretion. Additionally, reliance on a choice of forum agreement must be taken by way of a dilatory special plea following which the court will then exercise its discretion. In this case, none of the parties was connected to England and it served no practical purpose for the parties to litigate in the English Courts.

[14] On the question of joinder, the plaintiff contended that it had already sued Safari Connect and could not sue it again. It submitted that there are difficulties that arise in suing Safari Connect, a Mauritian insolvent, hence, given its status, that would require leave of the court. It further argued that, in any event, it sought to show that Safari Connect is one economic entity with the defendant, and, as such, there is no need to join it to the present proceedings.

[15] On the issue of the cause of action, the plaintiff argued that a cause of action does not have anything to do with whether the plaintiff would succeed or not, but it was the existence of facts that responded to a legal framework. The plaintiff's argument was that the

defendant was the same entity as Safari Connect, and therefore, it was entitled to execute against it.

[16] On the merits, it was submitted that the single economic test principle ought to be applied in this case on the basis that it is the defendant who directly received the loan, utilised it, went on to build a tented campsite, and was also presented as Safari Connect's holding company in its financial statements. Yet, the obligation to repay the loan, for no consideration, fell upon a party that it knew to be insolvent, a company that cannot exist outside it, and that is a party the defendant in *casu* controls.

[17] Relying on the decision in *Deputy Sheriff* v *Trinpac Investments (Pvt) Ltd & Anor* 2011 (1) ZLR 548 (H), Mr *Mpofu,* appearing for the plaintiff, contended that once it was established that two parties are one; that the money effectively goes into the same purse; that the operations of the two parties are bound hand and foot; and that a separate personality had been used as a façade, the court is empowered to make the debt payable by the other. It was therefore proper to follow the money.

[18] At the invitation of the court to address it on the necessity of registering the arbitral award first, Mr *Mpofu,* submitted that it was slightly different because you can only seek recognition, not registration, of the award, to enforce it in relation to a party against whom the award is given. In the present case, there was no need for the arbitral award to be recognised because the plaintiff accepted that Safari Connect could not pay, and that the award was not going to be enforced against Safari Connect.

THE DEFENDANT'S SUBMISSIONS

[19] On jurisdiction, the defendant submitted that this court does not have jurisdiction to hear the matter as the question of its liability can be answered with reference to the novation agreement it entered into with Safari Connect. That novation agreement, the defendant further submitted, has a choice of law clause that provides that the English Courts have jurisdiction. The defendant argued that while these proceedings were framed as a petition to pierce Safari Connect's corporate veil, the substance of the matter revolved around whether or not the defendant can be held liable for the principal debt owed by Safari Connect or any claim of whatsoever nature in light of the novation agreement.

[20] On joinder, the defendant submitted that there had been a material non-joinder of Safari Connect. Since these proceedings sought to pierce Safari Connect's corporate veil, Safari Connect not only had a direct and substantial interest in this matter, but it was also the subject matter of the current proceedings. An enquiry into the question before the court would require an enquiry into whether or not Safari Connect had, through its directors and shareholders, been run in a manner that warrants the piercing of the corporate veil.

[21] On the cause of action and the question of liability, the defendant contended that the summons did not disclose a cause of action in that nothing had been alleged in the plaintiff's declaration meeting the legally established elements of piercing the corporate veil. The defendant contended, further, that it was not liable to pay the debt because, firstly, it was neither the director nor shareholder of Safari Connect. It was not the entity behind Safari Connect's corporate veil. It contended that it was not responsible for the operations of and the running of Safari Connect. Secondly, it was released from liability as set out in the novation agreement.

[22] Relating to the question of whether or not the arbitral award must have been registered first, Mr *Tivadar,* appearing on behalf of the defendant, contended that the plaintiff was seeking execution of an arbitral award that had not only been registered under Article 35 of the Model Law but also did not sound against the defendant. This, he argued, was contrary to the legal position that an award is binding on the parties laid out in *Gwanda Rural District Council* v *Botha* S-174-20 and *Dudka & Ors* v *Cheni Investments* 2011 (1) ZLR 1 (H). He disputed as incorrect that Article 35 is only relevant for recognition, submitting that it is also relevant for enforcement. He submitted, further, that the plaintiff accepted that it ought to have made an Article 35 application if it intended to enforce the award against Safari Connect, so it could not be in a better position against a third party by arguing that it was not necessary to register the award in *casu*. He insisted that the plaintiff should have registered the arbitral award for enforcement purposes rather than adopting a roundabout way of recovering the debt.

[23] He argued, further, that the plaintiff never pleaded that the defendant was the alter ego of Safari Connect, neither had it pleaded fraud and a façade of incorporation in the summons.

The court however notes that submissions to that effect were made in the plaintiff's written and oral submissions made in this special case.

[24] On the single economic entity argument, it was counsel's submission that the plaintiff had not established the requisite one hundred per cent shareholding. Further, while the two entities had one common director, Sheona Anders, there was no assertion that Safari Connect's directors were the same as the defendant's directors. The argument that the defendant's debt had been novated to Safari Connect for no consideration did not have any basis because there was a business arrangement between the parties where Safari Connect would market the camp and get its payment therefrom. In any event, the debt was also assigned to the plaintiff by Vantage for no consideration, so the argument insinuating something untoward to have happened would apply to both parties. Finally, Mr *Tivadar* submitted that Safari Connect's insolvency did not bar the plaintiff from executing a judgment against it.

[25] For completeness, before I turn to consider the issues for determination, I pause momentarily to relate to the question of whether or not the arbitral award should have been registered first which exercised my mind and which I raised with the parties at the hearing of this matter.

[26] The view that I took after considering the written and oral submissions is that the question for determination is whether or not the plaintiff has proved a liquidated debt and whether the defendant is liable. On a careful analysis of the matter, I formed an opinion that the source of the debt is a loan transaction, the subsequent novation and the subsequent arbitral award. Understanding the claim in that context, I concluded that there is nothing barring the plaintiff from relying on an unregistered arbitral award to prove the liquidated debt.

[27] I now consider the issues for determination.

WHETHER THIS COURT HAS JURISDICTION TO DETERMINE THE MATTER

[28] Section 13 of the High Court Act clothes the High Court with full original jurisdiction over all persons and over all matters within Zimbabwe, save in certain specific areas as provided by the law: *Nhari* v *Mugabe & Ors* 2020 (2) ZLR 1062 (S) at p 1072D.

[29] In *Dlamini* v *Pamberi-Mandeya* 2019 (1) ZLR 31 (H) at p33G CHITAKUNYE J (as he then was) made the following pertinent remarks on jurisdiction:

> "Jurisdiction is generally the power vested in a court of law to adjudicate upon, determine and dispose of a matter. It is trite that in order for a court to make an effective and binding decision on a case it must have both subject matter jurisdiction (the power to hear the type of case) and the personal matter jurisdiction (the power over the parties to the case)."

In *Katsande* v *Grant* 2012 (2) ZLR 231 (H) at 234G ZHOU J aptly noted that:

> "Three common law principles underpin the exercise by a court of its jurisdictional powers generally. These are the doctrine of effectiveness, the doctrine of submission and the *actor sequitur forum rei* rule. …"

[30] In this case, the plaintiff's position is that this is a claim in execution of the arbitral award, not in terms of the deed of novation. At the hearing of the matter, as correctly observed by Mr *Mpofu*, Mr *Tivadar* did not seem to strenuously persist with the defendant's argument that the claim arose out of the novation agreement. It followed, therefore, that the defendant's reliance on the jurisdiction clause in the deed of novation did not materially advance its objection on jurisdiction, as the matter was argued as one founded on execution of the arbitral award rather than on rights arising from the novation agreement.

[31] In my view, insofar as the plaintiff's claim is based on the arbitral award, there can be no debate about this court lacking jurisdiction to hear this matter because, from the statement of agreed facts, it is accepted that the defendant is an *incola.* The court can therefore give an effective judgment.

[32] In addition, the arbitral award forming the subject matter of this dispute was issued within this jurisdiction, after the parties therein submitted to the jurisdiction of a Zimbabwean arbitrator and to the application of the laws of Zimbabwe. I comprehensively relate, later in this judgment, to the question of whether the summons discloses a cause of action or not. For the present purposes, to the extent that the claim is based on an arbitral award issued in Zimbabwe, the cause of action arose in Zimbabwe and the court has jurisdiction on that basis as well.

[33] Under the *actor sequitur forum rei* rule, the plaintiff must follow the defendant to its forum with the claim. This is what the plaintiff in *casu* has done. In the premises, I find that this court has jurisdiction to hear this matter.

[34] Even assuming that the plaintiff's claim was on the basis of the novation agreement, the question of how a court ought to proceed under such circumstances was settled by MAKONI J (as she then was) in *OTC International GmbH* v *AVM Africa (Pvt) Ltd* 2019 (1) ZLR 490 (H). In that matter, the parties entered into a contract for the supply of various motor vehicles and parts by the plaintiff, a German company, to the defendant, a Zimbabwean company. It was a specific term of the parties' contract that the contract was subject to German law and to the jurisdiction of the Court of Bremen, Germany. When the defendant defaulted on payment, the plaintiff issued a summons in the High Court of Zimbabwe claiming the outstanding amount. The defendant excepted to the claim on the basis that only the Court of Bremen, Germany, had jurisdiction over the dispute.

[35] The learned Judge, after examining a plethora of cases from various jurisdictions, held that a foreign jurisdiction or arbitration clause does not exclude the High Court's jurisdiction. She held that parties to a contract cannot exclude the jurisdiction of a court by their own agreement. Further, where a party wishes to invoke the protection of a foreign jurisdiction or arbitration clause, it should do so by way of a special or dilatory plea seeking a stay of the proceedings. When that is done, the court will then be called upon to exercise its discretion whether or not to enforce the foreign jurisdiction clause. It was held that a foreign jurisdiction clause is equivalent to an arbitration clause in the sense that it is not absolutely binding, and a court before which an action is brought in breach thereof has a discretion to hear the matter itself and not to refer it to the chosen foreign court.

[36] Critical to note is that the learned Judge held that in exercising this discretion, a court is enjoined to consider several factors presenting themselves in the matter. These factors include-in what country the evidence on the issues of facts is situated, or more readily available; and the effect of that on the relative convenience and expense of trial as between the local and foreign courts. The court must also consider whether- the law of the foreign courts applies, and if so, whether it differs from the local law in any material respects; with what country either party is connected, and how closely; as well as whether the defendant genuinely desires trial in the foreign country, or is only seeking procedural advantages. Further, the court ought to consider whether the plaintiff would be prejudiced by having to sue in the foreign court because it would (i) be deprived of security for that claim (ii) be

unable to enforce any judgment obtained, (iii) be faced with a time bar not applicable locally, or (iv) for political, racial, religious or other reasons unlikely to get a fair trial.

[37] The additional factors that a court ought to consider are that (i) a very strong case must be made out for the parties not to be bound by their agreement, (ii) the desirability of avoiding a multiplicity of actions in different courts with the associated potential of conflicting decisions and (iii) the advantage of saving costs and time. The list is not exhaustive, and each case must be considered on its own distinct facts. No hard and fast rules are prescribed.

[38] I have already alluded to the fact that the defendant against whom relief is sought is an *incola*. The plaintiff is incorporated in the United States of America. The defendant is operating in this country and the funds forming the subject matter of the dispute were advanced and utilised in the construction of a tented camp which is operational in Zimbabwe. While the novation agreement has an exclusive choice of forum clause, the parties to the novation agreement have already submitted to the jurisdiction of Zimbabwe and to the application of the laws of Zimbabwe. The conclusion of the arbitration process has yielded an arbitral award by consent. The basis for approaching this court is the liability arising from that arbitral award.

[39] To the extent that the proceedings are against the defendant before the court, if any attachment of property or persons is to be done, it can only be done in Zimbabwe. Even if the matter is to be decided in the courts of England, the judgment will still have to be registered in Zimbabwe as the defendant is an *incola*. In *OTC International GmbH supra*, the court took the view that the matter would still be required to appear in the High Court for the relief obtained in Germany to be given effect to. It concluded that a single action would save the time, expense and costs compared to a multiplicity of actions if the matter were to be determined in the foreign jurisdiction. I fully associate with the court's observations. I am even more persuaded to follow the court's position in this commercial dispute, bearing in mind that the core function of this court, as outlined in the Second Schedule to the High Court (Commercial Division) Rules, 2020, is the expeditious resolution of commercial disputes according to international best practices to enhance efficient justice delivery.

[40] In the ultimate, even if I had found that the claim is based on the novation agreement, I would have still been persuaded to exercise my discretion in favour of the dispute between the parties being determined by this court.

WHETHER THE SUMMONS DISCLOSES A CAUSE OF ACTION AGAINST THE DEFENDANT?

[41] The requirement set out in r 12(5)(d) of the High Court Rules, 2021 as read with r 4(2) of the High Court (Commercial Division) Rules is that before issue, every summons shall set forth, "a true and concise statement of the nature, extent and grounds of the cause of action and of the relief of remedies sought in the action."

[42] Simply put, a cause of action consists of the material facts that a plaintiff must allege and prove in order to obtain the relief claimed. See *Dube* v *Banana* 1998 (2) ZLR 92 (H) and *Silonda* v *Nkomo* S-6-22 at p 16.

[43] The consideration of what an 'entire set of facts' ought to include is fundamentally linked to the purpose of pleadings, which is to inform the opposing party, with sufficient detail, the basis of the plaintiff's claim and to enable the defendant to prepare for the case which it has to meet at trial: *National Social Security* v *Metbank Ltd* 2019 (3) ZLR 28 (H) at 32F, and *Mphoko & Anor* v *Nanavac Investments and Ors* HB-209-22.

[44] The defendant's argument is that no specific allegation of fraud, dishonesty or other improper conduct was levelled against the defendant so as to found a cause of action for the lifting of the corporate veil.

[45] The summons and declaration in *casu* disclose, at their core, an action for payment of a fixed and quantified sum and interest, arising from the loan transaction and the subsequent arbitral award obtained against Safari Connect. Properly characterised, the plaintiff's claim is an action to recover a liquidated debt.

[46] The plaintiff did not plead lifting the corporate veil as an independent cause of action. Rather, it was advanced as the basis upon which liability for that liquidated debt should, notwithstanding the novation to Safari Connect and the award being against that entity, be attributed to the defendant. The plaintiff's case, therefore, depended not only on the existence and quantification of the debt, but on whether the summons and declaration set

out sufficient facts to sustain the contention that the defendant is liable for it on a single economic unit basis.

[47] In understanding the plaintiff's chosen cause of action, it is important to note that piercing the corporate veil is not, in itself, a cause of action. It is an equitable remedy, deployed in exceptional circumstances, to justify holding a person or entity liable where strict adherence to separate juristic personality would defeat justice. Comparable South African authorities similarly stress that the remedy is exceptional and that a court does not have a roving discretion to disregard separate corporate identity merely because it appears just or convenient to do so. See, for example, *Cape Pacific Ltd* v *Lubner Controlling Investments (Pty) Ltd* 1995 (4) SA 790 (A) at 803G, *Hulse-Reutter and Others* v *Gödde* 2001 (4) SA 1336 (SCA) at 1346, para 20 and *Ex parte Gore NNO and Others* 2013 (3) SA 382 (WCC) at 396, para 28.

[48] It is also apparent from the authorities that the invocation of this equitable remedy is not necessarily confined to separate proceedings. The point has been recognised in this jurisdiction in decisions such as *Deputy Sheriff* v *Trinpac Investments (Pvt) Ltd & Anor supra* at 553G and *The Sheriff* v *Tindwa & Anor* 2018 (1) ZLR 44 (H).

[49] The question *in casu* was therefore not whether the plaintiff had pleaded a standalone claim labelled "piercing the corporate veil", but whether the facts pleaded, if established, could justify imposing liability for the liquidated sum on the defendant notwithstanding the separate legal personality of Safari Connect.

[50] Once the matter is approached on that footing, the enquiry returns to whether the summons and declaration disclose the essential elements of the cause of action relied upon. As alluded to earlier, on a fair reading of the papers, the plaintiff's claim was an action for payment of a liquidated debt, founded on the loan transaction, the subsequent novation and the arbitral award, coupled with the allegation that the defendant should, on the pleaded facts, be held liable for that debt.

[51] In general, for an action for payment of a liquidated sum to be sustainable on the pleadings, a plaintiff must allege the source of the obligation, its title to sue, the capital amount claimed, that the amount became due and payable and remained unpaid and the total amount in interest claimed on the capital together with the date from which interest

is to run. Rule 13(3) of the High Court Rules as read with r 4(2) of the High Court (Commercial Division) Rules amplify what is required where the claim is for a debt or liquidated amount, which includes capital and interest on the capital. It provides as follows:

> "Where the claim is for a debt or liquidated amount which includes capital and interest on the capital, the declaration shall state such of the particulars set out in rule 12(9) to (10) as may be relevant to the claim."

[52] Rule 12(9) of the High Court Rules as read with r 4(2) of the High Court (Commercial Division) Rules provides as follows:

> "Subject to sub rule (10), where the amount claimed includes capital and interest on the capital, the particulars attached to the summons in terms of sub rule (7) shall state clearly—
>
> a. the capital amount claimed; and
>
> b. the total amount in interest claimed on the capital at the date of the summons or as at an earlier date specified in the particulars; and
>
> c. whether or not interest is claimed on the total amount of capital and interest referred to in paragraphs (a) or (b) and, if not, the amount in respect of which any interest is claimed and the date from which interest is to run."

These provisions give content to what must be pleaded in a liquidated claim, particularly in relation to quantification and the interest component, so that the defendant is able to discern from the pleading itself what case it has to meet.

[53] The rules speak directly to quantification and interest, but they do not displace the need to plead the legal source of the indebtedness and the plaintiff's title to sue. Where a plaintiff's right is derived from another, the pleading must disclose facts establishing that it is the proper creditor and is entitled to sue in its own name. In *Law Society of Zimbabwe* v *Parliament of Zimbabwe & Ors* CCZ-10-23 at 25 para 64, the court stated:

> "The onus to establish any issue rests on that party relying upon it. It is thus necessary for a party in all cases to allege in its pleadings facts sufficient to show that it has *locus standi* to bring an action. This applies to all proceedings, whether by application or summons."

[54] Where a plaintiff sues on a ceded or assigned right, it must therefore plead the assignment or cession and its entitlement to enforce the debt. In *Trust Bank Corporation Ltd* v *Cold Storage Company Ltd* HH-34-08 at 5, the court observed that "Furthermore, the cession does

not automatically confer agency powers to the cedent", which underscores that title to sue follows the right that has been ceded.

[55] The critical question *in casu*, however, was that the plaintiff did not merely seek an order for payment of the liquidated sum in circumstances where liability flowed directly from the instrument relied upon. It sought, in addition, to fix liability for that debt upon the defendant, notwithstanding that the arbitral award was obtained against Safari Connect and notwithstanding the novation. It did so on the basis that the defendant and Safari Connect operated as one economic unit and that it was just and equitable that the corporate veil be lifted so that the defendant was held liable for the debt. The further question, to which I turn, is whether the summons and declaration pleaded the additional facts necessary to fix liability upon the defendant in the particular manner contended for by the plaintiff. Before that enquiry can be undertaken, it is necessary to set out the requirements for lifting the corporate veil where it is relied upon as the juridical basis for imposing liability on a party who is not the debtor under the instrument sued upon, so as to complete the cause of action disclosed by the summons and declaration.

[56] In general, a party seeking to invoke the remedy of lifting the corporate veil must show that its case falls within recognised and exceptional circumstances warranting a departure from the ordinary rule of separate juristic personality and limited liability. The courts have also deliberately refrained from attempting to define all the circumstances under which the corporate veil will be lifted. In *Manja & Ors* v *Sheriff of Zimbabwe* S-9-21 at 11, the court stated:

> "The courts have purposely refrained from attempting to define all the circumstances under which the corporate veil will be lifted. This has been done commendably to avoid unnecessarily fettering what is clearly the exercise of a wide judicial discretion. What comes out from the authorities is that the court will disregard a company's separate personality where an element of fraud or other improper conduct in either the establishment or use of a company or in the conduct of the company's affairs exists."

[57] The purpose and character of the remedy were also stated in *Sheriff for Zimbabwe and Anor* v *Nenhowe and Others* HH-673-17 at 4, where the court held:

> "The doctrine on lifting of the corporate veil is most widely used in corporate law to decide when a shareholder or shareholders, will be held liable for obligations of a corporation, or when a

> company should not be allowed to hide behind its corporate identity. The purpose of lifting the corporate veil is to avert manifest injustice arising out of fraud, to correct a wrong deliberately created by the company in order to subvert the principles of fair play or to avoid its obligations, or to defeat public convenience, or defend crime.
>
> There is no hard and fast rule about the court's discretionary power to lift the corporate veil. Each case depends on its own facts and merits."

[58] Even so, the remedy remains exceptional. In *Mkombachoto v Commercial Bank of Zimbabwe & Anor* 2002 (1) ZLR 31 (H) at 390D, the court held:

> "In my view the court has no general discretion to disregard the company's separate legal personality whenever it considers it just to do so. The court may 'lift the veil' only where otherwise as a result of its existence fraud would exist or manifest justice would be denied."

See also *Tindwa* v *Sheriff for Zimbabwe and Anor* S-94-22 at p. 8, para 15.

[59] In that context, the authorities identify several recurring grounds that typify the exceptional circumstances in which the corporate veil will be lifted.

[60] Firstly, the corporate veil will be lifted where the separate corporate personality is abused as a corporate façade, including the manipulation of limited liability, so that the court is entitled to look at substance rather than form and to attribute liability where it should rightly lie. The same idea is expressed in decisions that emphasise misuse or abuse of corporate personality. In *Makeh Engineering (Pvt) Ltd* v *ZB Financial Holdings* HB-71-19 at 6, the court stated:

> "The separate corporate personality can be subjected to abuse because limited liability is capable of manipulation. To adjudicate abuse and disregard limited liability this court can in exceptional cases, ignore the separate juristic personality of the company and pierce the corporate veil. Piercing would be an exclusion to the rule of limited liability and the court would be entitled to look at substance rather than form in order to arrive at the true facts, and if there has been a misuse of corporate personality, to disregard it and attribute its liability where it should rightly lie …"

See also *Pitlochry Estates (Pvt) Ltd* v *Macilwaine* HH-394-17 at 7 and s62 (3) of the Companies and Other Business Entities Act [*Chapter 24:31*].

[61] Secondly, the corporate veil will be lifted in limited circumstances where fraud, unjust dealing or other improper conduct is alleged and established. In this context, the courts also employ the alter ego formulation. The authorities, however, are not uniform on whether alter

ego is treated as sufficient on its own or whether it is ordinarily coupled with fraud, unjust conduct or similar impropriety. In *Sheriff for Zimbabwe* v *Manyise and Anor* HH-64-19 at 2 para 6, the court stated:

> "6. The alter ego doctrine is used by the courts to ignore the corporate status of a group of directors or a corporation in reference to their limited liability, so that they may be held personally liable for their actions when they have acted fraudulently or unjustly and when to refuse to do so would deprive an innocent party of redress for an injury caused by them."

Conversely, where no fraud is alleged, and there is no suggestion that the corporate form was organised as a device to evade legal obligation or frustrate execution, the separate legal existence will be maintained. In *Sheriff of Zimbabwe* v *Senital (Pvt) Ltd* HB-233-18 at 3, the court held:

> "In the matter before me, no fraud has been alleged. The judgment creditor has not alleged that the claimant was organised as a device to evade an outstanding legal obligation and to frustrate execution. The separate legal existence between Christian Van Wyk and the claimant has to be maintained and observed by this court."

[62] Thirdly, and most centrally for present purposes, the real dispute *in casu* appears to be whether the "single economic unit" formulation, without more, constitutes an independent and sufficient basis for lifting the corporate veil. A further dimension of this ground is that the exceptions to separate corporate personality are not confined to fraudulent and improper conduct: *Deputy Sheriff v Trinpac Investments supra* at 552D-G. In *Deputy Sheriff, Karoi* v *Chigango & Ors* HH-310-14 at 5–6, the court stated:

> "The exceptions to the general principle have been extended beyond the realm of fraudulent and improper conduct to the situation where a single economic entity owns all the shares in its subsidiaries and controls every aspect of its operation'"

[63] The authorities indicate that, in the group-company setting, the enquiry is directed at whether the operations and dealings of the entities are so integrated that insisting on strict separation would perpetuate a corporate fiction and defeat real and substantial justice between parties dealing at arm's length. In *Starafrica Ltd* v *Zimbabwe Sugar Refinery Workers' Union* S-65-21 at 5, the Supreme Court stated:

> "The principle that emerges quite clearly from the *DHN Food Distributors* case (*supra*) is that in appropriate cases involving group or holding companies and their subsidiaries, the court or tribunal is not strictly bound by the dictates of the doctrine of separate corporate legal personality. This enables them to look at the economic outlook of the whole group in order to do real and

> substantial justice between the parties as the economic perspective of the group and its subsidiaries may be intricately interwoven and difficult to unravel unless holistically considered."

[64] Similarly, in *Barnsley* v *Harambe Holdings (Pvt) Ltd & Another* HH-84-12 at 4–5, the court cited the words of LORD DENNING in *DHN Food Distributors Ltd* v *London Borough of Tower Hamlets* 1976 (3) All ER 462 (CA) at 467 as follows:

> "Although the companies in a group are separate legal entities, the court have in the mercantile context dealt with the group as an economic entity. This lifting of the corporate veil is indicated especially when a parent company owns all the shares of the subsidiaries so much so that it can control movement of the subsidies."

[65] The same approach has been applied in the banking context. In *Blue Track Investments & Ors* v *Nedbank Zimbabwe Limited* S-53-21 at 13–14, the Supreme Court stated:

> "The basis upon which the court *a quo* lifted the corporate veil was the existence of a single economic entity. The court *a quo* looked at the substance rather than the form of the corporate fiction. ...
>
> In light of this, the court *a quo* was correct and cannot be faulted as it is common cause that the appellants are part of an economic unit with common directorship and shareholding. Owing to this and the inter-account transfers amongst the appellants, I perceive that this is a case where any legal separation of the appellants would tend to perpetuate an essentially corporate fiction. Therefore, the fact that there was no application is unimportant as all the parties made extensive submissions on the issue in the court *a quo*. The factual framework for the lifting of the corporate veil existed. The court *a quo*'s decision cannot be impugned. In any event the respondent's conduct of combining the accounts is provided for in terms of clause 6 referred to above"

[66] However, some authorities also insist that the allegation of a single economic unit formulation is not sufficient on its own. Proof of ownership, shareholding or control, without more, does not justify the remedy. In *National Foods Ltd* v *Knight Frank (Pvt) Ltd* 2018 (2) ZLR 493 (H) at 500H-501B, DUBE J, as she then was, stated:

> "It is not good enough for a party relying on the single economic doctrine to simply prove that two or more entities constitute one economic entity. It is the activities and dealings of the two entities that make them one single entity. Proof of ownership of a company is not in itself justification for lifting the corporate veil. It must be shown that the entities are inextricably linked and indivisible. There has to be evidence of impropriety, wrong doing or conduct that is attributes to the entity complained against. The plaintiff does not allege any fraud deceit, *mala fides* or other improper conduct on the part of the defendant or the Partnership in the summons. A party that seeks to rely on fraud is not only required to plead fraud, it must also prove it."

[67] At the same time, the point of departure remains that each company in a group is a separate legal person with its own interests, rights, assets and liabilities and group control, without more, does not convert a subsidiary into an agent of its holding company or justify

imposing its liabilities on the holding company. In *Zimnat Life Assurance Ltd* v *George Dikinya* S-30-10 at 7, GARWE JA, as he then was, stated:

> "However, a holding company is a separate legal *persona* possessing its own interests, rights, assets and liabilities. By the same token, the subsidiary will also be a separate legal *persona* possessing its own interests, rights and liabilities. The mere fact that the holding company is able to control the subsidiary did not constitute the subsidiary its agent."

See also *Property World (Pvt) Ltd* v *NMB Bank Ltd* HH-175-18.

[68] It follows from the foregoing that, where a litigant seeks to rely on any of the accepted grounds for lifting or piercing the corporate veil, the material facts said to bring the case within the recognised exceptional circumstances must be pleaded with sufficient particularity to show the alleged abuse, impropriety or operational indivisibility relied upon. In *Sheriff for Zimbabwe and Anor* v *Nenhowe and Others supra* at 4, the court stated:

> "The difficulty with the judgment creditor's position is that he has not alleged that the judgment debtor deliberately ceased to operate in order to avoid paying him his dues. He has not even put the court into his confidence as to whether or not the judgment debtor is under liquidation and whether or not he has lodged a claim with the liquidator. Nor has he led evidence that the claimant was created for the dissipation of the judgment debtor's assets or that during his 25 years of employment with the judgment debtor he was also considered an employee of the claimant."

[69] Against that legal background, the issue for determination is whether the summons and declaration alleged facts which, if proved, bring the case within one or more of the recognised exceptional circumstances so as to justify imposing liability for the liquidated debt upon the defendant in the manner contended for by the plaintiff.

[70] The material allegations made by the plaintiff to justify imposing liability upon the defendant are that- the defendant is liable to pay that debt because Safari Connect (which is unable to pay the debt and is insolvent) is a subsidiary of the defendant and that the defendant is the parent company. It is alleged Safari Connect was established for the purposes of conducting defendant's business and at all material times, its operations were wholly in connection with Iganyana tent camp in Zimbabwe. It is further alleged that the defendant and Safari Connect have or had common directors and shareholders at all material times and that Safari Connect assumed the debt for no consideration. It also alleged that Safari Connect does not have any independent business separate from the defendant and that

at all material times, Safari Connect was bound hand and foot with the defendant. Finally, it is alleged that Safari Connect and the defendant are a single economic entity and therefore, it is just and equitable that the corporate veil be lifted and the two entities be treated as one company.

[71] On a consideration of the written and oral submissions before the court, the basis upon which the plaintiff seeks to pin liability on the defendant is that Safari Connect and the defendant are inextricably linked and indivisible, therefore the defendant should not be allowed to hide behind its corporate identity to evade its obligations to the plaintiff. It is the plaintiff's case that on the basis of the inextricable and indivisible link between the two entities, it is just and equitable that the defendant should be held liable for Safari Connect's obligations. Crisply put, the plaintiff has pleaded a claim for a liquidated debt, relying on the single economic unit principle as the basis for piercing the corporate veil so as to impose liability on the defendant as Safari Connect's associated company.

[72] On the basis of the above, I am satisfied that the summons and declaration have, with sufficient particularity, alleged facts which, if proved, would bring this case within the recognised exceptional cases justifying the imposition of liability on the defendant in the manner the plaintiff seeks to do. For the foregoing reasons, I find that the summons and declaration disclose a cause of action.

WHETHER THERE HAS BEEN A MATERIAL NON-JOINDER OF A PARTY?

[73] The factors that are considered in deciding whether or not a party should be joined to proceedings were established in the case of *Marai & Anor* v *Pongola Sugar Milling Co. & Ors* 1961 (2) SA 698 (N), wherein the court employed a two-tier approach to determine the application for joinder. The considerations established from the aforementioned case are that:

> "1. a party must have a direct and substantial interest in the issues raised in the proceedings.
>
> 2. his right may be affected by the judgment of the court."

[74] In this jurisdiction, the above was also set out in *Gonese* v *Minister of Finance and Economic Development* CCZ-11-23 on p. 17 as follows:

> "The imperative of joining all interested parties to ongoing proceedings has been underscored in a plethora of cases. The authors Cilliers AC, Loots C and Nel HC, Herbstein and van Winsen, *The Civil Practice of the High Courts and Supreme Court of Appeal of South Africa*, 5th edition, Juta & Co Ltd, Cape Town, 2009) Vol 1 state at p 215:
>
> > 'A third party who has, or may have a direct and substantial interest in any order the court might make in proceedings or if such an order cannot be sustained or carried into effect without prejudicing that party, is a necessary party and should be joined in the proceedings, unless the court is satisfied that such person has waived the right to be joined.'"

[75] In *Bamu* v *Mwonzora & Ors* CCZ-14-23, what constitutes direct and substantial interest was explained on pp.11 – 12 as follows:

> "It is trite that a person seeking to be joined as a party to proceedings must establish to the satisfaction of the court the existence of a direct and substantial interest in the matter. … The above passage places the question beyond doubt that a direct and substantial interest in the subject matter and outcome of pending proceedings is the *sui generis* characteristic necessitating the joinder of a third–party to ongoing proceedings. *It is an interest specifically recognised by the law in accordance with considerations of procedural justice and fairness to ensure that all parties who may potentially be prejudiced by the outcome of litigation are given an opportunity to be heard.* It accords with good law and common sense that a party exhibiting such an interest in pending proceedings must be joined as such." [Emphasis is mine]

See also *Matsvimbo* v *Stevenson & Ors* S–123–20 and *Zimbabwe Teachers Association & Ors* v *Minister of Education and Culture* 1990 (2) ZLR 48 (HC).

[76] In *Tour Operators Business Association of Zimbabwe* v *Motor Insurance Pool & Ors* 2015 (1) ZLR 965 (CC) at 970H, the court said that, as a matter of procedure, it is trite that a party instituting legal proceedings must cite every person who has a direct and substantial interest in the matter or who is likely to be prejudicially affected by the relief sought therein.

[77] While it is accepted as a settled and cardinal principle of company law that a company is a juristic person, separate and distinct from its members, as authoritatively established in *Salomon* v *Salomon & Co Ltd* (1897) AC 22 (HL), this rule is not cast in stone. The circumstances under which the courts generally have a tendency to ignore the separate legal entities of various companies within a group and instead look at those companies as a single economic entity have been discussed at length in the preceding paragraphs of this judgment.

[78] In my view, the question whether Safari Connect is a necessary party to the current proceedings is logically antecedent to the question of whether this matter may properly

proceed in its absence. Put differently, the court must first be satisfied, on the papers and on the submissions of the parties, that Safari Connect has, or may have a direct and substantial interest in the order sought. This process involves a threshold assessment of whether the relief sought may affect Safari Connect in the legally relevant way.

[79] What the plaintiff is essentially seeking is an order for the defendant to pay a liquidated debt which in the ordinary scheme of things should have been paid by Safari Connect. The plaintiff is attributing Safari Connect's liability to the defendant as another member of the same economic unit as Safari Connect. The plaintiff wants the actions of Safari Connect and the defendant to be judged as actions of a single economic entity.

[80] From the most basic premise, the consequence of taking such a position, subject to the legally established safeguards being satisfied, would be that the defendant can properly be found liable for Safari Connect's debt. I am of the view that if anyone is to suffer profound consequences from the relief sought by the plaintiff in *casu*, it is the defendant. Further, if anyone is to have a direct and substantial interest in the current proceedings, it would be the defendant because the plaintiff has motivated this court to disregard Safari Connect's separate legal personality and pin liability on the defendant. Logically, such an order would have critical implications on the defendant.

[81] From my assessment of the real issue to be determined by this court, the defendant is the necessary party in these proceedings. An order for the defendant to pay the plaintiff Safari Connect's debt would prejudicially affect the defendant, and it may be carried into effect without affecting Safari Connect. In the premises, I am not persuaded by the defendant's argument that there has been material non-joinder of Safari Connect. I conclude that this matter may properly proceed in Safari Connect's absence.

WHETHER THE DEFENDANT IS LIABLE TO PAY THE DEBT?

[82] In *Deputy Sheriff* v *Trinpac Investments supra* the court, relating to the single economic entity principle, noted at 552D-G that

> The exceptions to the general principle have been extended beyond the realm of fraudulent or improper conduct to the situation where a single economic entity owns all the shares in its subsidiaries and controls every aspect of their operations. Thus, in *DHN*

Food Distributors Ltd v *London Borough of Tower Hamlets* [1976] 3 All ER 462 (CA) at 467, it was stated as follows:

> "Professor Gower in his book on company law says: 'there is evidence of a general tendency to ignore the separate legal entities of various companies within a group, and to look instead at the economic entity of the whole group'. This is especially the case when a parent company owns all the shares of the subsidiaries, so much so that it can control every movement of the subsidiaries. These subsidiaries are bound hand and foot to the parent company and must do just what the parent company says. …This group is virtually the same as a partnership in which all the three companies are partners. …The three companies should, for present purposes, be treated as one, and the parent company, DHN, should be treated as that one."

[83] Coming to the facts of the present case, it is common cause that paragraph 16 of Safari Connect's notes to the Financial Statements for the year ended 31 December 2022 ('the Financial Statement') states that

> "The directors consider Forever African (Pvt) Ltd, a company incorporated in Zimbabwe, as the holding Company."

[84] A holding company is defined under s 3(2) of the Mauritius Companies Act, 2001 as follows:

> "(3) For the purposes of this Act, a company shall be another company's holding company only where that other company is its subsidiary."[1]

[85] The statutory definition makes it clear that a holding company is not a distinct type of company created by registration, but rather a status that arises from its relationship with another company. A company is regarded as a holding company only where it exercises control over another company that qualifies as its subsidiary under the Companies Act.

[86] I note that the definition of a holding company under the Mauritian law is largely similar to the definition of a holding company in the Zimbabwean context. In terms of s 185(5) of the Companies and Other Business Entities Act:

> "(5) A company shall be deemed to be another's holding company if that other is its subsidiary."

[87] On the basis of the notes on the financial statements that have been placed before this court, it can be accepted that the defendant is indeed Safari Connect's holding company. However, the mere fact that a company is another company's holding company does not automatically mean that Safari Connect and the defendant are a single economic

[1] *The Companies Act 2001* (Mauritius), Act No. 15 of 2001. Available at: https://companies.govmu.org/cbrd/wp-content/uploads/2025/11/Companies-Act-200101-09-25.pdf. Accessed 17 February 2026.

entity. Both the Zimbabwean and the Mauritian company law recognise the separate legal personality of a company.[2] In *Mahlaba* v *Matingende Holdings (Pvt) Ltd* 2018 (1) 368 (H) at 374C, the court referred to an earlier decision in *Gumbo* v *Steelnet (Zimbabwe) (Pvt) Ltd & Anor* HB-84-13 wherein it was held that:

> "As regards liability of a holding company for the debts of a subsidiary, the legal principle is clear: "the separate legal existence of the constituent companies of the group has to be respected" per Lord Wilberforce in Ford & Carter Ltd v Midland Bank Ltd (1979) 129 N L J 543, 544. The rule in *Salomon v Salomon & Co. Ltd supra* thus prevails."

See also *Zimnat* v *Dikinya supra.*

[88] It was alleged that the defendant and Safari Connect are one because the same financial statements which declare the defendant as Safari Connect's holding company show that Safari Connect is owed more than half a million dollars by the defendant and that that loan is unsecured, interest free and will not be recalled for the next twelve months. It was alleged, further, that this was not a commercial arrangement because Safari Connect sells the defendant's camping space so it could not advance the plaintiff a loan under those conditions. According to the plaintiff, the issue was further compounded by the fact that Safari Connect went under but before it did, the defendant transferred its debts to it.

[89] It is on these facts that the plaintiff argued that this is a most blatant stratagem to confound creditors. In my view, that Safari Connect was selling the defendant's camping space cannot be a bar to it legitimately advancing a loan to the defendant. In my further view, the fact that Safari Connect made a decision to advance to the defendant an interest-free, unsecured loan which would not be recalled within the next twelve months, standing alone, cannot be a basis to find that this was not a commercial arrangement. According to the financial statement, this loan was amortised, hence, the arrangement between the parties was that the loan would be repaid from a certain date, at a certain sum over a certain period. The plaintiff has not placed anything before this court to show that this loan was not repaid when it became due for payment on the terms agreed to by the parties. The court notes that the financial statement placed before it was for the period ending 31 December 2022. The

[2] See s 26 of the *Companies Act 2001* (Mauritius) (Act No. 15 of 2001).

summons in this matter was only issued on 19 March 2025, a little over two years outside the financial statement's reporting period. Such information would have been useful to prove that in fact, Safari Connect was just a shell and a shape at the defendant's disposal.

[90] From a reading of the plaintiff's submissions, there appears to be a subtle suggestion that there were manoeuvres to encumber Safari Connect with the defendant's debt before it went under. The documents placed before the court do not seem to support that suggestion. I have already related to the loan advanced to the defendant in the preceding paragraph. With regards Safari Connect being assigned the defendant's debt for no consideration, the Deed of Novation and Assignment records that the original lender, Vantage, assigned all of its rights, title, benefit and interest in respect of the loan to the plaintiff while at the same time, the original borrower, that is the defendant, novated all of its rights and obligations to Safari Connect. Both parties took over rights and obligations respectively. The deed does not speak to any consideration being given to any of the parties. Besides that any suggestion of untoward conduct would be applicable to both parties, it would appear that this was a mutual arrangement based on a mutual understanding among the parties involved.

[91] Even more pertinent to note are the contents of the preamble to the Memorandum of Understanding (MoU) on the strength of which Vantage injected funding into the Iganyana camp. The MoU records that Vantage and the defendant agreed to establish a mutually-advantageous business relationship regarding the construction and operation of the Iganyana Camp ('the project'). The MoU further records that Vantage would provide an interest free loan funding to establish the project. Further, Vantage and the defendant would share in the economic returns generated by Iganyana camp and Vantage would be granted bed nights at the camp to be utilised by its clients. It is these rights, obligations and benefits that are novated and assigned through the Deed of Novation and Assignment. Under the circumstances, it cannot therefore be strenuously argued that Safari Connect assumed the debt for no consideration.

[92] Notably, the loan in *casu* is also unsecured, interest-free and amortised. The record shows that the loan was repayable in monthly instalments of US$8 583. The repayment conditions were in terms of the Deed of Indebtedness between the plaintiff and Safari Connect. Interest

would only accrue when Safari Connect failed to pay any amount owing when due. The Deed of Novation and Assignment and the Deed of Indebtedness are dated 17 April 2019. Therefore, by 2022, the debt was assigned to Safari Connect way before the financial statement's reporting period. In my view, the similarity in the conditions of the assigned loan and the loan advanced to the defendant by Safari Connect shows that there was nothing out of the ordinary or untoward in Safari Connect advancing an unsecured and interest-free loan to the defendant. This seems to have been a common business arrangement between all the parties involved.

[93] Before Safari Connect purportedly went under, efforts to service the assigned debt were made over a period of approximately four years from 2019 to April 2023. The plaintiff placed before the court two documents detailing Safari Connect's loan repayments, one which shows that Safari Connect paid seven instalments of US$8 583.33 from 27 June 2019 up to 25 February 2020, as well as several other payments in tranches of US$500 (twice), US$1 000 (four times), US$1 500 (once), US$2 000 (once) and US$2 500 (eleven times). The second document shows that Safari Connect paid US$8 583.33 nine times, US$500 twice, US$1000 thrice, US$1500 once, US$2000, US$2500 five times and US$5000 twice.

[94] Despite the incongruency in terms of the figures paid, what is clear is that Safari Connect was servicing the debt over a period of time until such a time it failed to service the loan. The facts before the court do not hint a systematic and deliberate process of the defendant borrowing money from Safari Connect, assigning its debt to Safari Connect then Safari Connect going under. In fact, the emails placed before the court by the plaintiff show that communication relating to the challenges Safari Connect faced and its possible collapse was made by Sheona Anders, a director in Safari Connect from September 2023 when Vantage went into liquidation. The emails show that Safari Connect's collapse is not something that was sprung upon the plaintiff, but communication on the impact of Vantage's demise on Safari Connect considering that Safari Connect did not have any international sales office resource or representation to assist with international marketing and reservations outside Vantage was being made by Safari Connect. The negative impact was acknowledged by the plaintiff. The potential demise of Safari Connect due to Vantage's liquidation having been

brought up to the plaintiff's attention several times, it cannot be said to have been part of a grand scheme by the defendant to literally get away without meeting its dues. It was a well communicated consequence of Vantage's folding leaving Safari Connect high and dry.

[95] On the plaintiff's allegation that the personnel of Safari Connect and the defendant intersects, Sheona Anders is the only common director between the two entities. Per the parties' statement of agreed facts, the directors of Safari Connect are Sheona Anders, Bavita Jankee Persand, Mohamed Dilshad, Noel Colin Kersley Vinay, Pieter Enright, and Moya Cosaleggio. The statement of agreed facts shows that Sheona Anders is also an executive director and shareholder of the defendant. I accept that as fact.

[96] The fact that Sheona Anders is a common director in the defendant and Safari Connect cannot be the basis to find that the companies are bound hand and foot. It is not unusual for a person to be a director in several companies but that does not speak to a connection between the companies.

[97] The plaintiff argued that in writing correspondence relating to Safari Connect's debt, Sheona Anders spoke in the first person. The emails attached show that Sheona Anders, while responding to emails, was mostly writing in the first-person plural, 'we', or would clearly identify Safari Connect in the third person narrative. In some instances, she would write in the first-person narrative. Sheona Anders is a director in Safari Connect. I do not see how Sheona writing emails on behalf of Safari Connect and referring to 'we' or 'I' would translate to Safari Connect and the defendant being a single economic entity.

[98] With regards the defendant's and Safari Connect's shareholding, it is not disputed that BTG Management Services (Mauritius) holds one hundred percent shareholding in Safari Connect. Neither the defendant nor the defendant's shareholders hold shares in Safari Connect. The plaintiff argued that Sheona Anders and her husband, Terry Anders, are shareholders in the defendant. In my view, this does not advance their case. If anything, it shows that Safari Connect and the defendant do not have common shareholders. On the whole, the plaintiff has not placed any evidence before the court to prove the common shareholding, and the common directorship is only true to the extent that it relates to Shauna Anders only, not all the directors in either Safari Connect or the defendant.

[99] The statement of agreed facts records that Safari Connect was set up solely to act as a sales agent. Its business was composed of acting as an international booking agent for the Iganyana tented camp and many other camps and safaris, not necessarily Iganyana tented camp. It has not been argued that those other camps and safaris belong to the defendant. In fact, the business interactions between the defendant and Safari Connect were governed by a service level agreement in terms of which Safari Connect acted as the exclusive agent for the defendant in relation to the sale and booking of bed nights to Vantage. I have not been given any cogent reason by the plaintiff to find that the defendant is Safari Connect's parent company. The control element in Safari Connect by the defendant has not been proved. I therefore find no basis to conclude that the defendant controlled every movement of Safari Connect and that the two entities were bound hand and foot.

[100] On the basis of the foregoing analysis, I take the view that the plaintiff has not been able to place any evidence before the court to prove its contentions that Safari Connect and the defendant are a single economic entity. The plaintiff's claim stands to be dismissed.

[101] Regarding costs, it is trite that costs follow the outcome.

ORDER

[102] In the result, it is ordered that

1. The plaintiff's claim be and is hereby dismissed with costs.

MUSHURE J:……..

Scanlen & Holderness, plaintiff's legal practitioners
Webb, Low & Barry defendant's legal practitioners